

complaint

Mr N and Miss S complain that Royal & Sun Alliance Insurance Plc (RSA) unfairly declined their claim under their home insurance for water damage to their basement.

background

Mr N and Miss S said that water entered beneath the flooring of their converted basement after periods of heavy rain, and they claimed for the damage to RSA. They wanted to remedy the leak and replace the damaged flooring.

RSA obtained reports from its loss adjuster and a specialist drains survey. RSA said these concluded that there were no issues or leaks from the drains or pipes and the water damage wasn't related to the drainage. RSA said the problem was most likely a failure in the tanking and lack of a damp-proof membrane to the floor of the basement, which isn't covered. RSA maintained repudiation of the claim on the basis that no insured peril had taken place. It said anything that happens gradually or to do with wear and tear isn't covered by the policy.

Mr N and Miss S said RSA advised that their policy didn't cover tanking failure as they didn't have accidental damage cover for causes not tied to a single event. They obtained a report that said their basement needed tanking protection from ground water. And they said they had paid for the rectification of the damage including additional tanking and waterproofing.

The investigator recommended the complaint be upheld. He said the policy covers damage caused by storm or a flood, but RSA ruled these out as it looked to attribute the damage to a single one-off event. He said there was no evidence of a storm, but a flood couldn't be ruled out. He said the court had established that a flood could occur gradually and through a slow and steady build-up of water and our service follows that approach. He thought this meant a flood doesn't have to be sudden or violent or a single one-off event. He said RSA hadn't fully assessed that the damage wasn't caused by an accumulation of water (flood).

The investigator said policies don't cover wear and tear or gradual causes to prevent consumers ignoring problems. He thought Mr N and Miss S contacted RSA as soon as they became aware of the damage and the tanking hadn't failed due to wear and tear. He said RSA should re-assess the claim and review the work carried out by the consumers' builders and pay for the repairs that are covered under the policy.

RSA disagreed with the investigator, saying the law and courts gave a different interpretation of what constituted a flood, and this involves establishing a clear cause for the accumulation of water. It said the investigator's argument that a slow build-up of water can be flood is flawed as tanking systems are designed to prevent this and would only fail if the volume of water is so abnormal the system can't cope. It said in this case there's no evidence of a sudden release of water which it could consider. RSA said the only way the tanking would be breached is if it had failed due to wear and tear, or gradually over time. RSA said an alternative is that the water table has risen, but it said this is specifically excluded by the policy. RSA said the time allowed by our service was insufficient for it to carry out any further investigation of the causes of Mr N and Miss S's claim and so it requested an ombudsman review the complaint.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Both parties agree that the ingress of water in Mr N and Miss S's basement is due to a failure in the existing tanking. Mr N said this was located on walls behind internal plasterboard coverings. Following investigations RSA decided that the water ingress wasn't as a consequence of an insured peril. Mr N and Miss S disagree and say the failure of their tanking should be covered by their policy.

Although RSA hasn't identified the cause of the water ingress it declined Mr N and Miss S's claim as it says the damage must be due to wear or tear or a gradually operating cause. My role is to decide if RSA has made a fair decision about this. For a claim to succeed the policyholder must show that an insured event has occurred. This would require Mr N and Miss S to show that the damage falls within one of the insured perils set out in their home insurance policy. It is then a requirement of the insurer to show that an exclusion clause applies to the claim.

I've considered the expert reports from RSA and Mr N and Miss S and I'm not satisfied that RSA has done enough to eliminate flood as the potential cause of the damage. I can see from its responses that RSA thinks what happened to Mr N and Miss S's basement can't be a flood. But it also acknowledges that it hasn't had the time to investigate this cause properly.

Our service considers that a flood can occur when water enters (or builds up) in a property slowly and steadily, and this doesn't necessarily have to be caused by a natural event. The key factor is that water has built up within Mr N and Miss S's basement, regardless of where the water came from and this may have caused their tanking to fail.

Although I can't be sure from the evidence that Mr N and Miss S have a claim under the flood peril in their home insurance policy, I think RSA needs to re-assess the claim against the flood peril based on our service's approach to the definition of flood. To be clear, this is not a requirement on RSA to pay the claim at this stage, but to obtain expert evidence to determine if the cause of the claim, and then respond accordingly.

If Mr N and Miss S are still unhappy with RSA's decision about their claim, they can bring a further complaint to our service.

my final decision

For the reasons I have given above it is my final decision that the complaint is upheld. I require Royal & Sun Alliance Insurance Plc to reconsider Mr N and Miss S's claim against the flood peril in their home insurance policy.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr N and Miss S to accept or reject my decision before 17 July 2020.

Andrew Fraser
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